

It is precisely because of its destructive effect on sales channels that the Internet has had such a disruptive influence in industries that previously required complex sales and distribution channels, such as newspaper, magazine, and book publishing.

Technology Pivot

Occasionally, a company discovers a way to achieve the same solution by using a completely different technology. Technology pivots are much more common in established businesses. In other words, they are a sustaining innovation, an incremental improvement designed to appeal to and retain an existing customer base. Established companies excel at this kind of pivot because so much is not changing. The customer segment is the same, the customer's problem is the same, the value-capture model is the same, and the channel partners are the same. The only question is whether the new technology can provide superior price and/or performance compared with the existing technology.

A PIVOT IS A STRATEGIC HYPOTHESIS

Although the pivots identified above will be familiar to students of business strategy, the ability to pivot is no substitute for sound strategic thinking. The problem with providing famous examples of pivots is that most people are familiar only with the successful end strategies of famous companies. Most readers know that Southwest or Walmart is an example of a low-cost disruption in their markets, that Microsoft an example of a platform monopoly, and that Starbucks has leveraged a powerful premium brand. What is generally less well known are the pivots that were required to discover those strategies. Companies have a strong incentive to align their PR stories around the heroic founder and make it seem that their success was the inevitable result of a good idea.

Thus, although startups often pivot into a strategy that seems